

Bus 719

Session 2

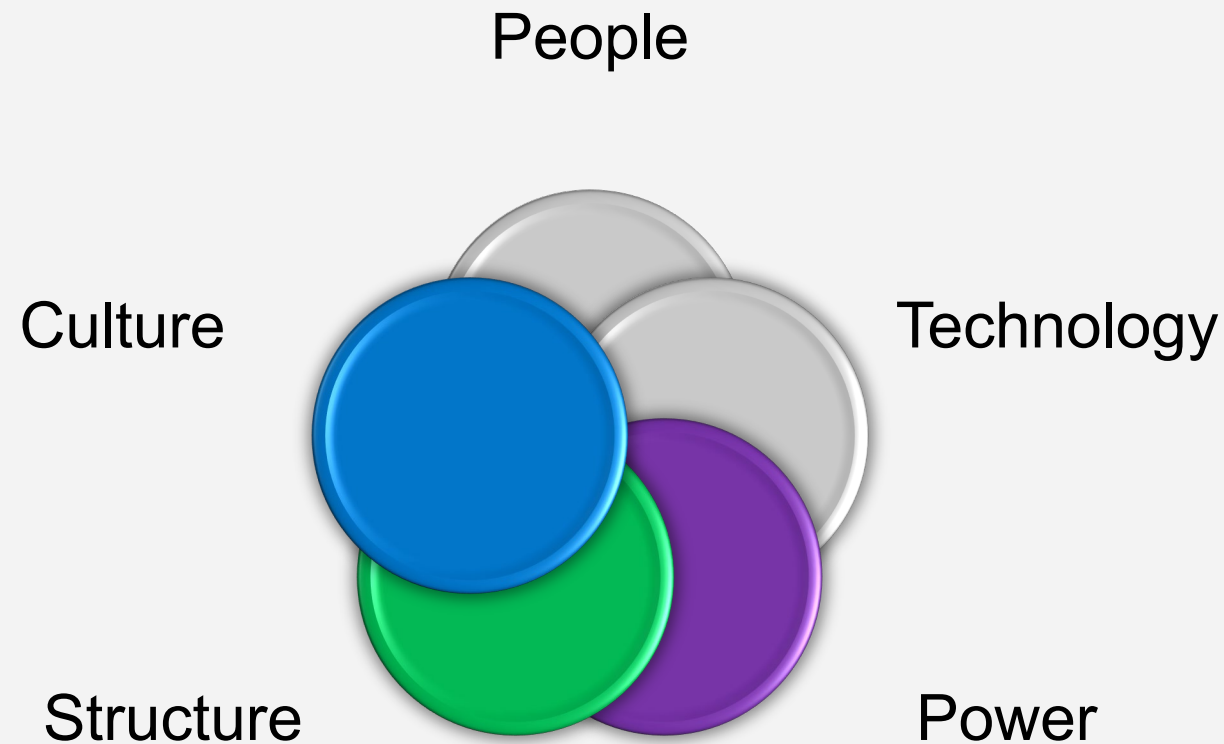
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A High Level Model of Org Design



Three Kinds of Truth

Objective truths

- Facts that can be established independent of our perceptions (though they require agreed upon methods of measurement)

Subjective truths

- Things that are true to you (e.g., what you are feeling, what you value)

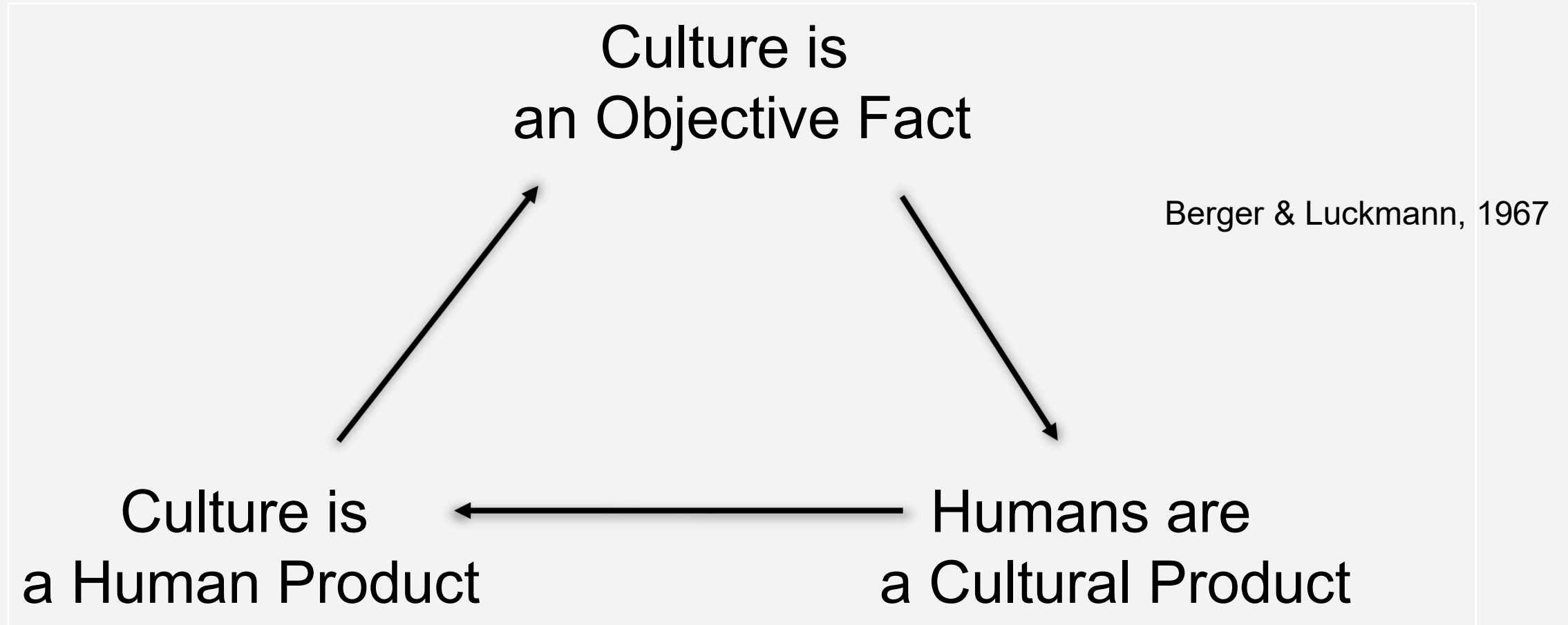
Inter-subjective truths

- Things that are true because we agree they are (e.g., culture)

What is Culture

- Organizational Culture became popular as an explanation for organizational behaviour in the 1980's.
- Often used in the popular business press in simplistic ways (e.g., “4 types of culture...”)

Social Construction of Reality



Culture is a Human Product

- We are sense-making beings
 - Compelled to make sense of what is taking place around us
 - Compelled to make sense of why people who are important to us do what they do
- What do we do when we try to make sense of what ‘they’ are doing?
 - We seek out trusted others and work out a “narrative” that makes sense
 - A narrative is a “storyline” – a basic understanding of how things are that helps us make sense of things as they arise

- Over time we forget these were just stories we made up and they become “the truth” – socially constructed reality
 - Future acts of sense-making are based on past acts of sense-making or things don’t make sense
 - We see what we believe, and fail to notice or downplay disconfirming information
- We develop “shared narratives” with the people we make sense with; over time organizations become composed of groups with different narratives – we call these subcultures.
- They can be particularly vexing when “competing narratives” exist

Culture is an objective reality

Institutionalization

- Culture takes on a life of its own, existing beyond the lives of any individuals.
- Though it can't be observed empirically, its effects can, giving it an objective reality.
- Over time, ways of being and acting come to be seen as the normal, proper way of being and acting, they become “taken for granted”.
- Some shared narratives are the storylines “in good currency”, or “privileged”. In any group there will be “marginalized narratives” as well.

Man is a cultural product

Socialization

- Culture shapes the identity, thought patterns, emotions, desires and behaviour of people.
- Language, in particular, is an active force in creating the people we are and are becoming
- Schooling is a strong socializing force; children are taught the narratives that are in good currency in the culture
- Roles are another way in which cultures influence thinking and acting

Organizational Culture

- It is critical to realize that shared meanings get shaped by organizations, not just behaviours
- Meaning is much more difficult to change than behaviour
- New behaviors precede new meanings, that is, acting differently is what causes people to develop new shared narratives

Where Org Culture comes from

- Is created over time as members struggle to deal with problems of *external adaptation* and *internal integration*.
- According to Schein*, acts that repeatedly solve a group's problems and/or reduce anxiety will survive and become taken-for-granted ways of thinking and acting.
- I would add, sense-making that get repeated and shared to explain new and ambiguous events, becomes “the truth”.

*Schein, *Leadership and Organizational Culture*

Advantages of Strong Cultures

A strong culture is where there is widespread acceptance of shared values and narratives.

- Don't have to keep “re-inventing the wheel”
- Creates a common world of meaning so that less mis-communication and mis-perceptions occur
- Helps to build a sense of belonging and identification with the organization
- Acts as a flexible control system - people will do it the “Google” way
- There is evidence that organizations with strong cultures outperform

Disadvantages of Strong Cultures

- Managers can become inbred and unable to adapt to radically changing conditions
- People can emphasize “fitting in” at the expense of excellence
- People can become blind to what is not part of the culture
- Leaders can fail to see new opportunities or solutions that are outside cultural parameters

Another Approach to Organizational Culture

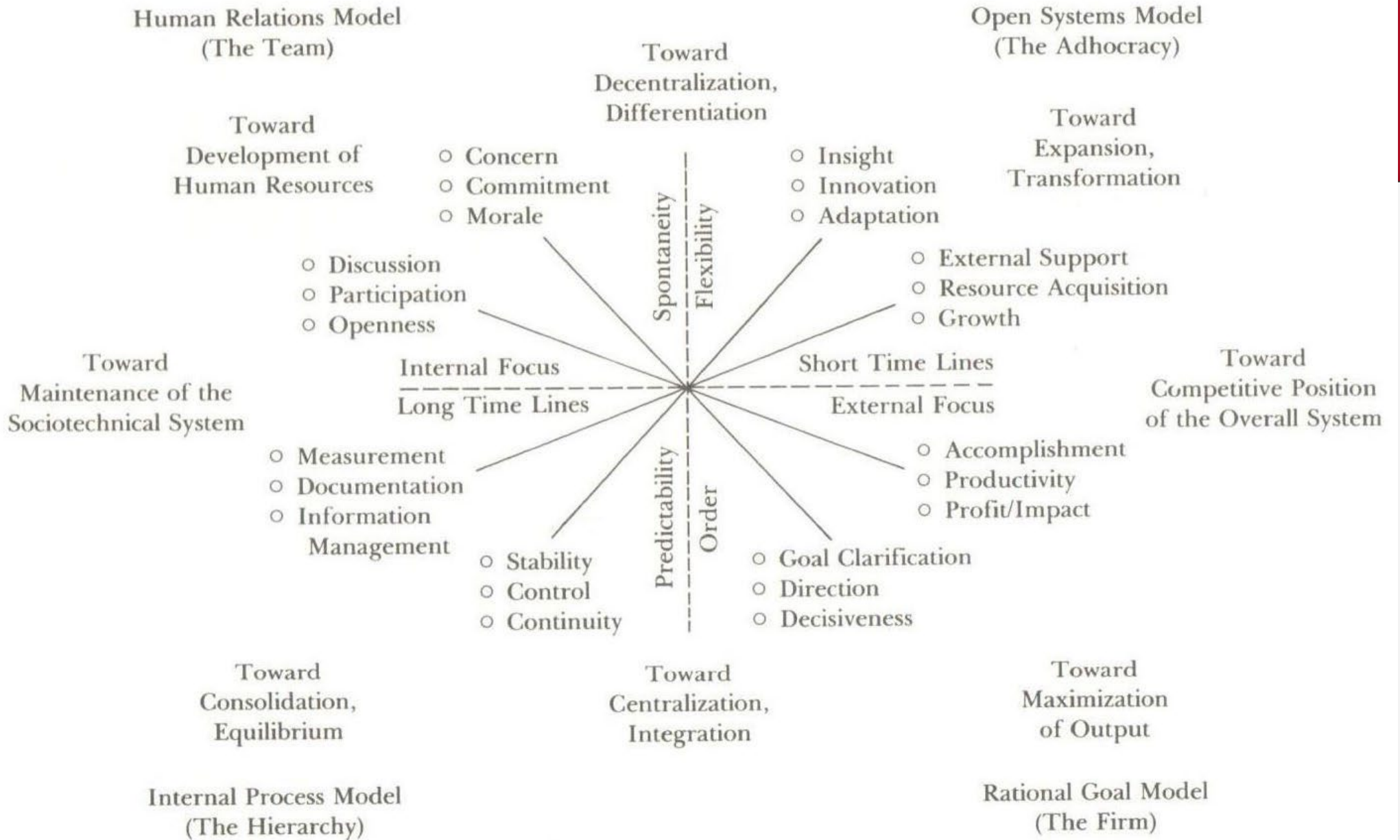
- A recent theory of mind and culture* suggests that what cultures do is not so much tell us what is right/wrong, but tell us the parameters within which we must decide, from situation to situation, what is right. In this way, we retain free choice, but within parameters dictated by our culture.
- In most societies this is shown in parables:
 - two minds are better than one vs too many cooks spoil the broth
 - nothing ventured nothing gained vs look before you leap

*Billig, *Ideological Dilemmas*

- A popular example is Robert Quinn's Competing Values Model of Effectiveness - this has been used to identify different organizational cultures

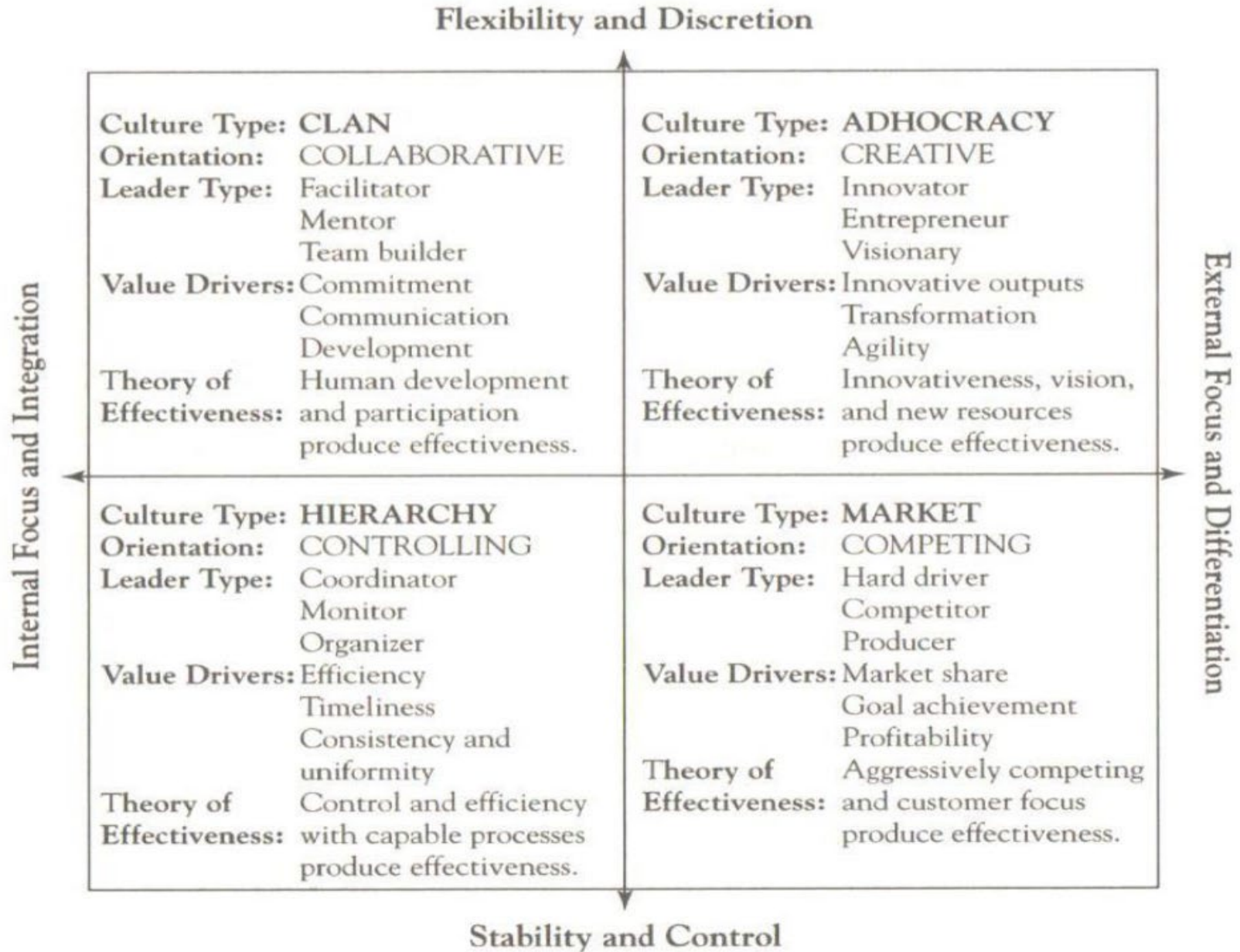
Compting Values Model

Quinn, *Beyond Rational Management*



4 Types of Org Cultures

Cameron & Quinn, *Diagnosing and Changing Organizational Culture*



But in this newer approach

- culture is seen as the consistent choices that are made amongst a set of general dilemmas.
- In all organizations unique value dilemmas can be found - these are things the organization values but that in practice are mutually contradictory or opposed.

Value Dilemmas From an R&D Organization

Staff projects to ensure the best job gets done	Vs	Staff projects to ensure professional development of staff
Always meet deadlines	Vs	Deliver only quality products
Always know what your employees are doing	Vs	Employees should be empowered to act on their own initiative
Make decisions in a quick and timely manner	Vs	Consult with all effected parties before making a decision
Different views and opinions should be fully aired	Vs	Open conflict should be avoided whenever possible
People should be rewarded for specific accomplishments	Vs	People should be rewarded for their contributions over the long haul

- Two questions arise:
 - Are such value dilemmas real or espoused?
 - Are such value dilemmas a reflection of a culture or a reflection of competing sub-cultures?
- According to Charles Hampden-Turner*, the way these dilemmas are apprehended by management crucially shapes the strategic vision of companies, leading to their success or failure.
 - Attempts to turn such dilemmas into either/or conflicts lead to simplistic visions.
 - Both/and or synergistic resolutions are the only solutions that lead to long term viability.
 - It might be better sometimes, however, to keep the tension of opposites

*Hampden-Turner, Charting the Corporate Mind

- What is clear is that all organizations have idiosyncratic value dilemmas and that these form an important part of an organization's culture.
- Barry Johnson* argues that organizations can learn to identify these and manage them through explicit attempts to develop both/and solutions – what he calls Polarity Management.

*Johnson, *And*

Polarity Management

- Many things that we value come in interdependent pairs – you can't have one without the other

EG:

- Stability and Adaptability
- Internal Operations and External Customers
- Activity and Rest
- Public Safety and Thriving Economy
- Individual Freedom and Common Good

Johnson's Principles (selected)

- OR thinking is essential for learning and solving problems
- AND thinking is a supplement, not a replacement for OR thinking
- There is a natural tension between two poles of a polarity
- We often experience them as chronic conflicts between polarized groups.
- Polarities are inherently unsolvable because you can't choose one to the neglect of the other
- You have been living with polarities all your life, and have tacit wisdom for how to manage them

Johnson's Principles (selected)

- Polarities are energy systems we can leverage
- Each pole as an upside and a downside
- If you stress the upside of pole 'A' and neglect the other, first the downsides of pole 'A' will manifest, then the downsides of the other pole will manifest
- When we are in the downside of one pole it is natural to see the upside of the other pole as “the solution” – but stressing only one side of a polarity is an unsustainable solution
- The fear of the downside of one pole can lead to sustained over-focus on the other pole, which will inevitably lead to getting what you feared.
(Safety Paradox)

Johnson's Principles (selected)

- The Polarity Map is a wisdom organizer
- Building a polarity map is always a values and language clarification exercise
- Leveraged well, we maximize the upsides of both poles and minimize the downsides.
- The downside of one pole represents the fear of losing the upside of the other pole. A powerful value/fear diagonal combined with OR thinking gets us hooked into a false choice between poles.

Polarity Management® Map

Action Steps

How will we gain or maintain the positive results from focusing on this left pole? What? Who? By When? Measures?

Early Warnings***

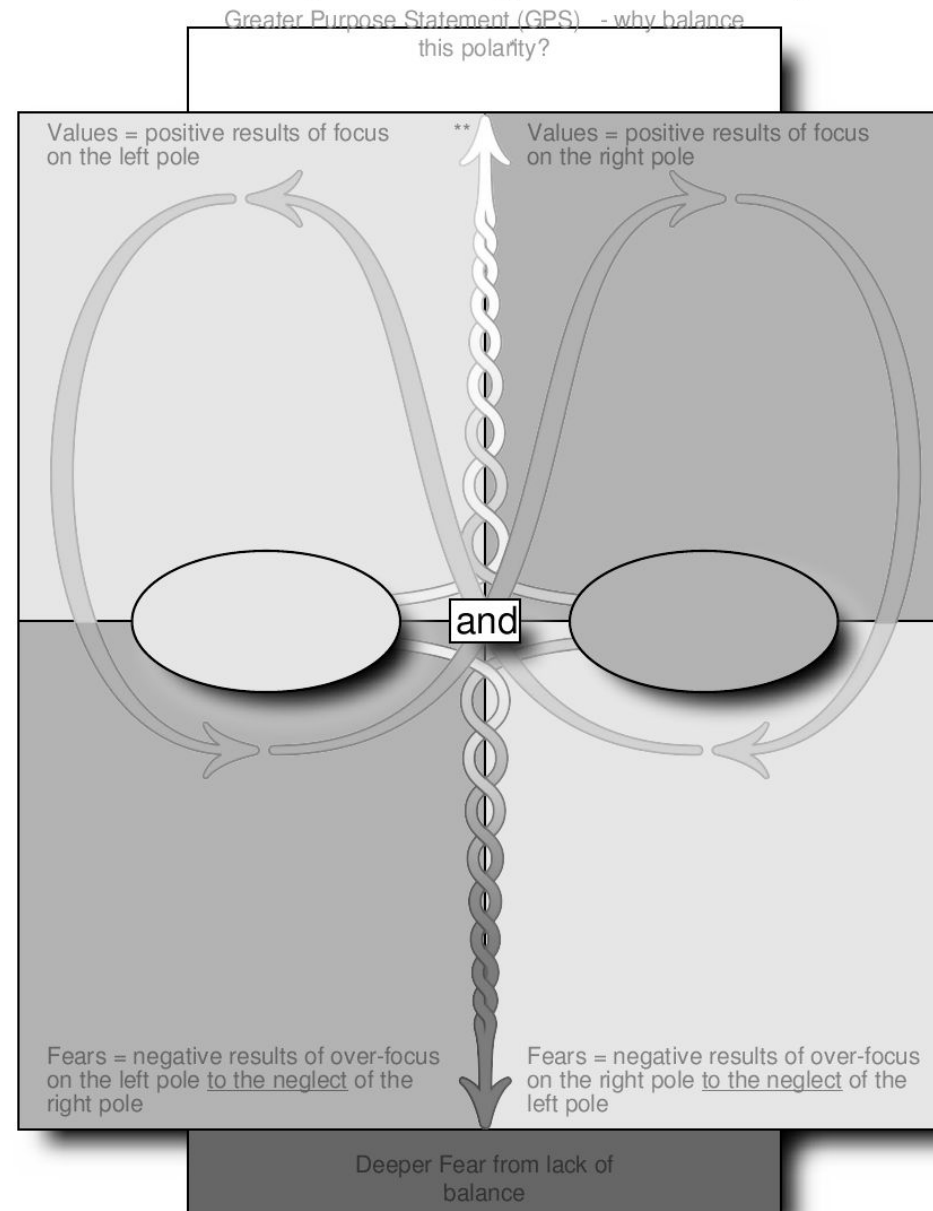
Measurable indicators (things you can count) that will let you know that you are getting into the downside of this left pole.

Action Steps

How will we gain or maintain the positive results from focusing on this right pole? What? Who? By When? Measures?

Early Warnings

Measurable indicators (things you can count) that will let you know that you are getting into the downside of this right pole.



Polarity map - © 1999, 2006 Polarity Management Associates, LLC. Thanks to Jani Scherer, The Scherer Leadership Center / ** Thanks to De Wit & Meyer BV / *** Thanks to Todd Johnson, Riverlawn Consultants